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ii. Uneven Availability of Factors of Production.

The availability of various factors of production namely, land, labour, capital and technology for producing goods and services differ among different countries. International business moves the surplus factor in one country over to another country where it is in short supply. Therefore international business is necessary.

iii. Specialisation.

Certain countries or some geographical areas of a certain country specialize in the production of goods and services due to some natural advantages like abundant availability of skilled labour, favorable climatic conditions, availability of natural resources, technical know-how, etc., For example, In India Coimbatore specilises in cotton textiles and producing textiles and machinery; Tirupur specialises in manufacturing hosiery products This specialisation paves way for large scale production of specialised items. International business transfers the abundant surplus to other countries which do not have these specialised goods or products

iv. Cost Benefit.

Production cost varies significantly among the countries due to difference in socio-economic, geographical, demographical, technical and political environments prevailing therein. As a result some countries are in a better position to produce some goods more economically and efficiently than other countries. This makes the firms engaged in international business import the goods available at lower prices from

25.06 Differences Between Domestic Business and International Business

Basis	Domestic Business	International Business
1. Meaning	Domestic business refers to business transactions transacted within the geographical boundaries of a country	International business refers to the business transactions transacted in beyond the boundaries of a country
2. Participants in Business	People / organizations within the country participate in business activities	People/organizations outside the country participate in business activities
3. Mobility of Factor of Production	The factors of production i.e. labour,, capital, technology, material, etc., move freely within the boundaries of the country	The factors of production i.e. labour,, capital, technology, material, etc., move across the boundaries of the country.
4. Nature of Consumers	Consumers are relatively homogenous in nature in terms of culture, behavior ,taste, preferences, legal system, customs and practices, etc.,	Consumers are relatively heterogeneous in nature in terms of culture, behavior ,taste, preferences, legal system, customs and practices, etc. prevailing across the countries,